

a room, and keeping your lawn from turning into a scene from *Jumanji*. On top of routine maintenance, there are *capital expenditures*, often referred to as CapEx. It's a fancy name for a fancy expense—the price of big-ticket items like replacing a roof, installing central AC, or getting all-new kitchen appliances.

An easy way to ballpark your overall monthly maintenance cost is to dedicate 1 percent of the property's total value each year toward big and small fixes. If you live in a \$200,000 home, you should budget \$2,000 per year (or \$167 per month) for maintenance. If that seems like too high or low a number, that's where CapEx comes in. You shouldn't have many big expenses coming up if you're buying a brand-new two-bedroom home, so you can assume a smaller monthly cost than what is typical. If you live in a Victorian mansion with a thirty-five-year-old roof, you should round up your maintenance allocation to account for the larger expenses that will almost definitely pop up.

You would probably like to have electricity and running water, so let's not forget about utilities. Depending on where you live, your utility expenses will include some or all of the following: electricity and natural gas, water and sewer, trash removal and recycling, and—last but not least—access to the World Wide Web and your portable cellular device. (Although, let's be real. You're probably paying for both of these already as a renter—and so would your hypothetical future tenants.) You can estimate all these costs based on what is typical in your area.

These four make up the holy quartet of home expenses: mortgage, maintenance, CapEx, and utilities. While these are good to keep in mind in general, we're talking specifically about renting out your house to someone else—so there are a few more layers to add to this cake.

Rental Income and Expenses

If a stranger is living in your property, they will hopefully be paying you for that privilege. The sum they pay you is considered *gross rental income*—not because it's disgusting but because it's the amount you get prior to taking out any expenses.

To estimate what gross rental income might look like for your property, you're going to have to do a little research. The easiest (and free-est) way is to look at rental listing sites like Zillow, Trulia, or even Craigslist. Narrow